MGT613 - Production / Operations Management (Quiz No.4)

Question # 4 of 10 (Start time: 12:49:49 PM, 07 January 2026)

Which of the following is the cost of holding inventory for some specific time?

Select the correct option

- ○ Shrinkage cost
- ○ Ordering cost
- ○ Inventory cost
- ◉ Carrying cost

MGT613 - Production / Operations Management (Quiz No.4)

Question # 3 of 10 (Start time: 12:49:36 PM, 07 January 2026)

Record of quantities of ingredients, components, and materials that is required to produce a product is called

Select the correct option

- ○ Load reports
- ○ Master schedule
- ○ Purchase order
- ◉ Bill of materials

MGT613 - Production / Operations Management (Quiz No.4)

Question # 10 of 10 (Start time: 12:48:16 PM, 07 January 2026)

Which one of the following is an example of an intermediate range plan?

Select the correct option

○	Facilities layout
○	Machine loading
◉	Backorder
○	Product design

MGT613 - Production / Operations Management (Quiz No.4)

Question # 1 of 10 (Start time: 12:49:03 PM, 07 January 2026)

The optimal order quantity shows a trade-off between which one of the following sets of costs?

Select the correct option

- (●) Carrying costs and ordering costs
- ( ) Carrying costs and setup costs
- ( ) Carrying costs and stock out costs
- ( ) Carrying costs and shortage costs

MGT613 - Production / Operations Management (Quiz No.4)

Question # 2 of 10 (Start time: 12:49:21 PM, 07 January 2026)

Which of the following shows the quantity and timing of specific end items for a scheduled horizon?

Select the correct option

- ○ Aggregate plan
- ◉ Master schedule
- ○ Simulation model
- ○ Critical path model

MGT613 - Production / Operations Management (Quiz No.4)

Question # 9 of 10 (Start time: 12:48:04 PM, 07 January 2026)

Key lean manufacturing principles include:

Select the correct option

○	Continuous improvement
○	Pull processing
○	Waste minimization
●	All of the given

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Question # 8 of 10 (Start time: 12:47:45 PM, 07 January 2026)

Which of the following denotes EOQ?

Select the correct option

○	Equal Output Quantity
◉	Economic Order Quantity
○	Equal Order Quantity
○	Economic Output Quantity

MGT613 - Production / Operations Management (Quiz No.4)

Question # 7 of 10 (Start time: 12:47:30 PM, 07 January 2026)

What are the chances of the batch containing defect exceeding LTPD will be accepted is known as?

Select the correct option

- (●) Consumer risk
- ( ) None of the above mentioned
- ( ) Acceptance risk
- ( ) Producer risk

MGT613 - Production / Operations Management (Quiz No.4)

Question # 4 of 10 (Start time: 12:46:41 PM, 07 January 2026)

Among the following which one is a JIT scheduling tactic?

Select the correct option

- (●) Level schedules
- ( ) Produce in large batches
- ( ) Move goods through the plant in larger batches but produce them in small batches
- ( ) Use the same purchase order form with each order that is placed

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Question # 5 of 10 (Start time: 12:46:55 PM, 07 January 2026)

Which one of the following mathematical expressions can be used to compute annual ordering cost?

Select the correct option

○	D+Q+S
◉	(D/Q)S
○	(D+Q)S
○	(D/S)Q

Question # 6 of 10 (Start time: 12:47:13 PM, 07 January 2026)

The optimal order quantity shows a trade-off between which one of the following sets of costs?

Select the correct option

○	Carrying costs and shortage costs
○	Carrying costs and setup costs
○	Carrying costs and stock out costs
●	Carrying costs and ordering costs

MGT613 - Production / Operations Management (Quiz No.4)

Question # 3 of 10 (Start time: 12:46:26 PM, 07 January 2026)

An effective JIT effort should result in increased

Select the correct option

- ○ Queue time
- ◉ Quality
- ○ Delay time
- ○ Costs

MGT613 - Production / Operations Management (Quiz No.4)

Question # 2 of 10 (Start time: 12:46:06 PM, 07 January 2026)

Which of the following is TRUE about a periodic review?

Select the correct option

○	Ordering inventory to supplier as per requirement
●	Ordering inventory at a fixed and regular time interval
○	Ordering inventory when it falls below the safety stock level
○	Ordering inventory at a predetermined re-order level

MGT613 - Production / Operations Management (Quiz No.4)

Question # 1 of 10 (Start time: 12:45:47 PM, 07 January 2026)

What would be the total cost of inventory if a firm holds 200 units of a product 'A',where the carrying cost is Rs. 2 per unit?

Select the correct option

- (●) Rs. 400
- ( ) Rs. 100
- ( ) Rs. 202
- ( ) Rs. 198

MGT613 - Production / Operations Management (Quiz No.4)

Question # 8 of 10 (Start time: 12:50:46 PM, 07 January 2026)

Which one of the following concepts refers to achieve the lowest average total cost per unit when a large quantity is ordered?

Select the correct option

- (●) Economic order quantity
- ( ) Material requirements planning
- ( ) Economies of scale
- ( ) Master production schedule

MGT613 - Production / Operations Management (Quiz No.4)

Question # 9 of 10 (Start time: 12:51:01 PM, 07 January 2026)

All of the following are determinants of reorder point EXCEPT:

Select the correct option

○	Rate of demand
◉	Setup cost
○	Lead time
○	Stock out risk

MGT613 - Production / Operations Management (Quiz No.4)

Question # 10 of 10 (Start time: 12:51:14 PM, 07 January 2026)

Which of the following is NOT considered while calculating the safety stock level?

Select the correct option

○	Stock-out cost
○	Demand variation
◉	Holding cost
○	Order level

MGT613 - Production / Operations Management (Quiz No.4)

Question # 7 of 10 (Start time: 12:50:30 PM, 07 January 2026)

The relationship between quality and probability of acceptance is:

Select the correct option

○	Linear
○	Inversely proportional
◉	Directly proportional
○	Not linear

MGT613 - Production / Operations Management (Quiz No.4)

Question # 6 of 10 (Start time: 12:50:16 PM, 07 January 2026)

Lot sizing determines the _____ and _____ of order quantity

Select the correct option

- ○ Timing, date
- ○ Size, price
- ◉ Timing, size
- ○ Date, size

MGT613 - Production / Operations Management (Quiz No.4)

Question # 5 of 10 (Start time: 12:50:03 PM, 07 January 2026)

Which of the following is NOT MRP output?

Select the correct option

- (●) Changes in dates and order
- ( ) Scheduled receipts
- ( ) Order releases
- ( ) Planned orders